



BOARD RESPONSIBILITIES AND FUNCTIONS

POLICY 1-2

PURPOSE: To establish the responsibilities and functions of the Board.

INTRODUCTION:

Effective management is important in accomplishing the business objectives of the cooperative.

The Board of Directors must have and use business-like methods in order to make their potentially-important contributions to the success of the cooperative.

To delineate its responsibilities and functions, the Board hereby adopts the following policies:

1. The major functions of the Board are:
 - a. PLANNING
 - b. LEGAL
 - c. TRUSTEESHIP
 - d. REQUIREMENTS
 - e. CONTROLLING
2. The general duties of the Board are:
 - a. See that the legal requirements as set forth in the Articles of Incorporation (sometimes called as the CHARTER) and the by-laws of the cooperative are complied with fully; that all other laws and regulations applying to the cooperative are complied with fully.
 - b. Determine the ideals, objectives and major goals and end-results desired. Interpret the official charter into basic ideals and into long-range objectives and yearly goals and end-results. Use the manager to assist and to recommend.
 - c. Determine the guiding policies, usually upon the recommendation of the manager.
 - d. Select, employ, and if necessary, terminate the employment of the Manager in accordance with NEA Bulletin No. 2, dated 03 September 1973. The Manager selects those who report to him, but he may, if it is found desirable, extend the approval of major executives.
 - e. Provide or authorize adequate facilities including land, plant, and equipment and provisions for the appropriation of the necessary funds.



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POLICY 1-2

- f. Review and approve the broad operating programs of service and activities as planned and recommended by the Manager.
- g. Review and approve the operating budget in terms of the end-results, risks and evidence of conditions promising to attain the results.
- h. Set-up with the advice and help of the Manager, the conditions that are essential to conserve the assets of the cooperative and maintain a sound financial situation. (Here the Board determines the criteria and conditions that the operating management must conform to.)
- i. Set-up broad personnel policies and standards upon the advice of the Manager that are essential to the employees, as well as fair financial rewards. This usually involves the approval of wage and salary policies and programs including contracts and agreements, but not the specific pay of individuals other than the Manager. Incidentally, it should include the compensation, if any, to the Board or members when working on official business of the cooperative.
- j. Provide policies and authorize programs for maintaining good relationship with members based on understanding, and also policies and programs of public relations, upon the advice of the Manager. Often, the Board delegates much of this program, but occasionally, the Board are urged and commissioned to participate in the public relations program, if this is done with the advice and help of the Manager.
- k. Appoint committees and commission and receive reports from any such committees.
- l. Review periodic (financial, operating, program of activities, etc.) from the Manager, and check for conformity to ideals, objectives, goals and end-results. Check also for conformity to policies and conditions established by the Board.
- m. Hold well-planned and effectively-conducted meeting of the Board enough to keep informed; to provide needed policies; to provide facilities and to insure desired results.
- n. Advise the Manager from time to time, usually upon his request, in regard to specific executive decisions which are part of the Manager's delegated responsibilities, and from which he is held accountable for results. (Here it is very important for both the Board and the Manager to know when the Board is giving advice on



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something that is the responsibility of the Manager, and when it is giving instructions to the Manager on making executive decisions. ~~To confuse these~~ can only result in handicapping the Board-Manager team.

- o. Keep informed and growing in its own skills and understanding as Board members. Occasionally, the Board would arrange for an evaluation of its performance. It should have a systematic program to keep it growing in its abilities.

IMPLEMENTATION:

The Board is responsible for implementing this policy.

(SGD) JACK DULNUAN
President

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Secretary

APPROVED pursuant to Board Resolution No. 36 dated March 02, 1974.